traded for 17 times earnings. All were valued at half or less than Litton.[19] It was a testament to Thornton's ability to woo Wall Street analysts, acquire companies, and produce attractive annual reports. Cracks, however, were beginning to appear. While Thornton could keep Litton perceived as a high-technology military electronics conglomerate the price paid for Litton stock would stay high, but this relied upon ever-increasing earnings per share. The actual businesses owned by Litton were becoming "bland, flabby, starved for capital, and mismanaged"[20] as the exodus of LIDOs took its toll on the managerial talent pool. Part of Thornton's "free-form management" philosophy was the belief that a good manager could operate in any industry.[21] It was an elaborate illusion—more self-deception, and hubris than intentionally misleading—and in 1968 it was shown to be what it was.

In January 1968, after 57 quarters of continued growth, Litton announced for the first time that earnings would decline by $11 million from the peak of $58.4 million earned in the previous year. The stock was savaged. Though the conglomerates themselves continued on, this, more than any other event, ended investor ardor for conglomerates. The market seemed to wake from its reverie, recognizing for the first time that earnings-per-share-growth-through-acquisition wasn't sustainable, and that, in any case, earnings per share growth wasn't necessarily a worthwhile end in itself. A satirical article appeared in *Barron's* in 1968 describing the gimmick employed by the conglomerateurs:[22]

> *Get hold of the speeches and annual report of the really savvy swingers, who know the lingo and make it sing. . . . You have to project the right image to the analysts so that they realize you're the new breed of entrepreneur. Talk about the synergy of the free-form company and its interface with change and technology. Tell them about your windowless room full of researchers . . . scrutinizing the future so your corporation will be opportunity technology oriented. . . . Analysts and investors want conceptually oriented (as opposed to opportunist) conglomerates, preferably in high technology areas. That's what they pay the high price-earnings ratios for, and life is a lot less sweaty with a high multiple.*

Critics charged that Litton's true skill rested not in high technology, but in publicity and investor relations.[23] They also noted that Litton was adept at the use of unusual—although not illegal—accounting techniques that obfuscated the true state of the businesses and exaggerate its growth.[24] Refusing to let the dream die, one of Litton's executives said in 1968, "There is no question in anybody's mind that Litton is going to be a successful large company, but our objective is to be a successful large *growth* company."[25] It was too late. The market had seen the man behind the curtain.